



STRUCTURING OUR LIABILITIES



The first step towards repaying liabilities efficiently, be it actively or passively is to have it structured. We will accumulate all the small loans/liabilities that we may have i.e. credit card bills, personal loans, small mortgages, a loan from a friend etc., combine them and get the same refinanced by a larger lender. We will pay off all these smaller liabilities and in return have a single bigger liability to deal with. We now only have to deal with one lender instead of multiple small lenders.

We can renegotiate a lower interest rate from this lender and then work out a customized paying schedule to repay it aggressively as well as with convenience. Ensure that there is no pre-payment penalty in the new loan. Pre-payment means paying off the loan earlier than expected. We may pay Rs. 1 lac as instead for an EMI of Rs 20,000. This way we will be able to repay it much faster i.e. pre-pay the loan. For those, who already have liabilities to net worth less than 0.5, they can skip this section to move directly to the investments.